Soon after setting Taj Bombay in order, he set his eyes on building a hotel in Goa, which subsequently became the iconic Taj Fort Aguada Resort. The conservative Bombay House was, however, disinclined to invest in the beach state, which had not yet become a tourist centre. Getting little to no support from Tata Sons, Kerkar marshalled resources from some well-known personalities who encompassed the Taj's clientele. However, when the project began taking shape, the Tatas took 6 per cent equity in it.

After Goa, Kerkar started Taj hotels in Delhi, Calcutta, Bangalore, Madras and Kerala. In most of those instances, his ability to raise capital with the help of investors proved a steady source of financing. He seized every opportunity to expand the Taj chain. He also fashioned the concept of 'palace tourism' in the country by taking over Lake Palace in Udaipur and Rambagh Palace in Jaipur, and converting them into Taj hotels. JRD was so impressed with Kerkar that he once declared: 'After Darbari Seth, the leading entrepreneur of the Tatas, the next one is definitely Ajit Kerkar. He [Kerkar] has a tremendous mixture of worthwhile ambition and practical competence.'

After expanding in India, Kerkar set his eyes on the US and Europe. Under him, the chain grew at a rapid rate. He had, in three decades, transformed the Taj into a fifty-hotel group spread over three continents. JRD recognized his performance and within eight years of his joining Taj, made Kerkar its MD. And when he had completed twenty-five years in Taj hotels, JRD sent him a letter which said: 'Had it not been for your foresight, dynamism and resourcefulness, and your furious work tempo, the Indian Hotels Company might have remained the sleepy, single-hotel enterprise.'

But to achieve this level of growth, Kerkar had resorted to complicated financial dealings. Many subsidiaries and a complex web of companies had been established with multiple crossholdings. Bombay House was largely kept in the dark about these arrangements. More critically, during the process, Kerkar failed to obtain the necessary permissions and clearances from the Reserve Bank of India (RBI). This resulted in financial propriety being violated and various rules being breached.

Differing Perceptions

Kerkar was a man with his ear to the ground. About two and a half months before Ratan's appointment as chairman, Tata Sons, he wrote to Ratan extending his support for bringing about cohesion in the group. He wrote